crore. The desperate state of PSBs can be gauged by the fact that the market capitalization of the technically private IDBI Bank, which has the highest ratio of non-performing loans, at Rs 38,564 crore, exceeded the market capitalization of PNB in September 2020.

Putting things into perspective, the market capitalization of the seventy-four CPSEs (financial and non-financial) was Rs 13.65 lakh crore. The market capitalization of one company, Reliance Industries Ltd, exceeded this.

Government is No Longer Investing in Growth through CPSEs

As per the information provided in the expenditure profile 2020–21, the Government of India provided equity support of Rs 2,09,687 crore to public enterprises in financial year 2018–19. In addition, loans of Rs 16,178 crore were also provided. Equity support was provided to as many as twenty-eight public enterprises. The three largest investments made included Rs 1,06,000 crore of capital support to PSBs, Rs 35,819 crore of equity support to NHAI and Rs 52,838 crore of equity support to Indian Railways. Together, these three types of enterprises—banks, railways and national highways—got budgetary support for equity investment of Rs 1,94,657 crore. These three entities claimed 92.83 per cent of the entire equity investment made by the Government of India in financial year 2018–19.

What is significant to note is that all the three sets of enterprises are sick. They do not contribute anything significant to GVA and earn very little or no profits and, consequently, do not provide any return to the Government of India in the form of dividends or capital gains.

The Railways used to pay, at least in accounting terms, a dividend at the rate of 3 per cent of eligible assets until 2015. The Lok Sabha discussed a recommendation of the Railway Convention Committee in 2016 to the effect that the Railways should not be asked to pay any dividend to the general exchequer. The Minister of Railways at the time also argued that the